ASML Holding N.V. (ASML)

A Monopoly Running Ahead of Its Own Capacity, Priced for a Decade of It

ANALYST: JUSTIN WEN | 2026-10-19

> ASML has raised its full-year 2026 sales outlook three times, delivered record quarterly net sales of €11.66B, and holds a backlog of €38.80B as the monopoly supplier of EUV lithography systems. The franchise is not the debate. The debate is that at the €1,635.16 reference price, the market pays 66.2x FY2025 diluted EPS and roughly 19.2x FY2025 revenue for a company whose own guided growth, however strong, compounds well below what the multiple requires. Our blended target is €1,443.48, representing -11.7% upside from the reference price.

HOLD	$1,443.48	-11.7%	$1,635.16
Hold, Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market treats ASML's monopoly as a guarantee that growth compounds uninterrupted, while the company's own record shows a delivery cadence that arrives in steps, a quarterly sales line that has already landed below consensus once this year, and earnings that recently needed an investment revaluation gain to reach their headline level. We would rather own the monopoly at a price that leaves room for the steps.

EXECUTIVE SUMMARY

ASML Holding is the monopoly supplier of EUV lithography systems for advanced semiconductor manufacturing. Revenue comes from system sales across EUV, DUV, and metrology, and from high-margin Installed Base Management, the service and upgrade business attached to the global fleet of installed tools. That second stream matters more than its size suggests, because it converts a cyclical equipment franchise into a partially recurring one, with Installed Base Management sales of €3.29B in Q3 FY2026 alone, ahead of the guided level near €2.9B. The structural position has no close precedent in the semiconductor equipment industry, and nothing in the recent record challenges it.

The recent record is one of demand running ahead of supply. ASML closed FY2025 with record net bookings of €13.16B, including €7.44B of EUV orders, lifting the backlog to €38.80B, and initiated FY2026 guidance at net sales of €34B to €39B alongside a buyback program of up to €12B. The year then unfolded as a staircase. Q1 FY2026 delivered net sales of €8.77B, up 13.2%, inside the guided range, with diluted EPS of €7.15 beating the €6.62 estimate. Q2 FY2026 delivered €9.33B, up 21.3%, with operating income of €3.46B and EPS of €7.58 beating the

€6.95 estimate, and carried guidance for a steep second-half ramp. Q3 FY2026 delivered record net sales of €11.66B, up 55.2% year over year and 25% sequentially, at a gross margin of 57.5%, and management raised the full-year outlook to €44B to €45B, the third raise of the year, while guiding Q4 sales to €14.2B to €15.2B.

The blemishes in that record are small but instructive. Q3 sales landed toward the high end of the guided range yet below the roughly €11.85B market consensus, and the shares rose only 0.5% on a record quarter. Q3 net income of €4.96B included a revaluation gain on the Mistral AI investment, so the basic EPS of €12.95 overstates the operating run rate, with the reported EPS comparison at €11.82 against a €10.76 estimate. Q4 FY2025 had shown the same pattern in miniature, with EPS of €7.34 trailing the €7.55 estimate while the order book did the talking. None of this dents the franchise. All of it shows a market that prices each raise instantly and forgives nothing, which is a fragile arrangement at 66.2x earnings.

The financial base underneath the story is superb. FY2025 produced revenue of €32.7B, gross profit of €17.3B at a 52.8% gross margin, operating income of €11.3B, net income of €9.61B, and free cash flow of €11.0B at a 33.8% FCF margin, with return on equity of 49.0%. The balance sheet holds €12.9B of cash against €4.39B of total debt, a net cash position of €8.53B. Our Hold rating, held with valuation concerns, is therefore a statement about price rather than quality. The base case in our model compounds revenue at 14.0% through FY2031 and still lands 13.4% below the reference price, because the starting multiple already contains the compounding.

OPERATIONAL SNAPSHOT

$1,635.16	€32.7B	€11.0B	33.8%	1.30	$1,635.16
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS ABSOLUTE AND STRUCTURAL

The moat begins with the word the verified description itself uses, monopoly. ASML is the only supplier of EUV lithography systems, the tools that print the most advanced logic and memory devices, and there is no second source for a customer to qualify even if it wanted negotiating leverage. Decades of accumulated optics, light-source, and metrology expertise, much of it embedded in a supplier ecosystem built around the company, separate ASML from any plausible entrant by a distance that capital alone cannot close. Switching costs in this market are not a preference. They are the absence of an alternative.

The Installed Base Management business converts that monopoly into durability. Every system shipped joins a fleet that consumes service, upgrades, and metrology support for its working life, and Q3 FY2026 showed the stream at €3.29B in a single quarter, ahead of guidance. This revenue does not depend on the next fab decision, and it carries the high-margin profile the business description assigns it. In a downturn for system orders, the installed base keeps compounding quietly, which is why ASML's earnings floor sits far above that of a pure equipment vendor.

Demand visibility is the third layer, and the record quantifies it. Net bookings of €13.16B in Q4 FY2025 set a quarterly record, €7.44B of it in EUV orders, and the backlog reached €38.80B before the 2026 staircase began. Management has since raised the full-year outlook three times, from an initial €34B to €39B to a range of €44B to €45B, with Q4 FY2026 guided to €14.2B to €15.2B. A supplier does not raise three times in a year on hope. The order book and the guidance cadence together say that customers are competing for ASML's capacity rather than the reverse.

Pricing power shows in the margin line. Gross margin reached 57.5% in Q3 FY2026, and the FY2025 gross margin of 52.8% was earned across a year that began with a soft first half. A monopolist with a service annuity, a record backlog, and pricing that expands mix toward its highest-value systems has every structural advantage an investor can ask for. Our disagreement with the market is confined to a single point, which is that these advantages are already fully priced, and then some, at €1,635.16.

VALUATION

Three scenarios make the valuation range explicit

Our model compounds ASML's revenue across the FY2026 to FY2031 forecast window at 10.5% in the bear case, 14.0% in the base case, and 18.5% in the bull case, with final-year target FCF margins of 33.1%, 35.5%, and 37.7% respectively. The base case is not a cautious construct. A 14.0% revenue CAGR sustained for six years, on a company already at €32.7B of revenue, assumes the AI-driven lithography cycle stays strong, the guided €44B to €45B FY2026 outcome is delivered, and the service base keeps expanding. The bull case at 18.5% assumes something close to the 2026 staircase becoming the permanent gradient.

Even on those terms, the arithmetic refuses to reach the price. The bull case target of €1,781.14 offers 8.9% upside, a thin reward for underwriting six years of near-flawless execution by the most strategically exposed supplier in the semiconductor chain. The base case at €1,415.66 sits 13.4% below the reference price, and the blended target of €1,443.48 sits 11.7% below it. When the optimistic scenario returns less than a tenth while the base case loses an eighth, the risk and reward ledger is unbalanced at the entry point, whatever one thinks of the company.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	10.5%	33.1%	$1,161.44	-29.0%
Base	50%	14.0%	35.5%	$1,415.66	-13.4%
Bull	25%	18.5%	37.7%	$1,781.14	+8.9%

Bear €1,161.44

The bear case assumes the second-half-weighted delivery pattern slips, consensus gaps like the Q3 sales miss become a habit,

Base €1,415.66

The base case assumes the €44B to €45B FY2026 outlook is delivered, the €38.80B backlog converts on schedule, and

Bull €1,781.14

The bull case assumes demand stays ahead of capacity for years, guidance raises continue, and mix keeps lifting gross margin toward

and customers digest capacity after the 2026 build wave. Revenue compounds at 10.5% and the terminal-year FCF margin reaches 33.1%, roughly the FY2025 level.	Installed Base Management keeps outgrowing the guided level. Revenue compounds at 14.0% and the terminal-year FCF margin reaches 35.5%.	the 57.5% printed in Q3 FY2026. Revenue compounds at 18.5% and the terminal-year FCF margin reaches 37.7%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We discount ASML at a 9.91% WACC built from live market inputs, with an equity beta of 1.30 and a base-case terminal growth rate of 4.0%. A 4.0% terminal growth assumption is generous by the standards of this framework, and deliberately so, because ASML's position at the chokepoint of advanced semiconductor manufacturing argues for a longer growth runway than most franchises possess. The point of granting it is to show that the valuation conclusion does not depend on stingy terminal assumptions. Even with that generosity, and with beta decaying toward a mature peer across the forecast as the methodology specifies, the model cannot reach the reference price.

The reason is duration. At 66.2x FY2025 diluted EPS of €24.71 and an EV to EBITDA multiple of 49.4x on FY2025 EBITDA of €12.6B, the buyer at €1,635.16 is purchasing cash flows concentrated far in the future, each of which depends on the AI capital spending cycle remaining intact and on ASML's monopoly remaining unregulated, unchallenged, and fully utilized. Some of those dependencies are close to certain. The monopoly is real. Others, including the smoothness of the growth path, are contradicted at least mildly by the company's own recent record of consensus gaps and second-half-weighted years.

FCF margin normalization is the engine

ASML converted FY2025 revenue into free cash flow at a 33.8% margin, and our scenarios assume that margin holds or expands modestly to between 33.1% and 37.7% by FY2031. The support for expansion sits in the mix. Installed Base Management grows with the fleet rather than with orders, gross margin printed 57.5% in the strongest recent quarter, and operating margin reached 37.1% in Q2 FY2026 and 36.0% in Q1 FY2026 on the way up the staircase. A richer service mix on a larger installed base is a genuine structural tailwind to cash conversion.

The normalization question is whether the investment required to stay ahead of demand consumes that tailwind. Management describes a demand environment

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2031**
Live WACC	**9.91% (2026-10-20)**
Terminal growth	**4.0%**
Equity beta	**1.30**
Diluted shares	**384.1 million**

HOLD

over $1,443.48 blended target

running ahead of capacity, and serving it means expanding system output, field service coverage, and metrology attach across a global fleet, all while funding a buyback program of up to €12B. Our scenarios credit the margin expansion anyway, because the record supports it. We flag the tension because it is the main place the base case could prove optimistic, and a base case that is optimistic while sitting 13.4% below the price is a clear signal about the price.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on EUV system demand and Installed Base Management

HOLD

EUV system sales are the swing factor in every forecast year. The Q4 FY2025 bookings record, €13.16B in total with €7.44B from EUV orders, shows where the industry's capital is committed, and the 2026 staircase from €8.77B in Q1 to a guided €14.2B to €15.2B in Q4 is fundamentally an EUV shipment story. Each EUV system carries the highest revenue and strategic weight in the portfolio, and the cadence of EUV deliveries against the €38.80B backlog will decide whether the base case's 14.0% CAGR is a floor or a ceiling.

DUV and metrology form the supporting layer. The verified business description groups revenue across EUV, DUV, and metrology systems, and the DUV fleet serves the broader industry's capacity needs while metrology attaches to both new systems and the installed base. We do not model these lines separately, because the verified record does not break them out, but their role in the thesis is stability. They widen the customer and application base beyond the leading-edge logic cycle that dominates the headlines.

Installed Base Management is the driver we weight most heavily for quality. At €3.29B in Q3 FY2026, ahead of the guided level near €2.9B, the service and upgrade stream grows with every system shipped and persists through order cycles. It is the reason ASML's FY2025 FCF margin of 33.8% is defensible as a base rather than a peak, and it is the stream most likely to make our terminal-year margin assumptions look conservative over time. Watch it first in every print, because a service miss would say more about fleet health than a system timing slip.

The demand backdrop ties the drivers together. Management has raised the FY2026 outlook three times, describes demand running ahead of capacity, and guided Q4 to a further step up, while the Q3 print still landed below the

roughly €11.85B consensus on sales. That combination, insatiable end demand meeting a delivery-constrained supplier, is the best possible operating environment and the worst possible setup for multiple expansion, because every disappointment, however small, is measured against perfection.

What to monitor

- **Bookings and backlog conversion** The €38.80B backlog and the €13.16B Q4 FY2025 bookings record set the standard, and any quarter that adds less than it ships begins to shorten the visibility the valuation depends on.
- **Guidance cadence** Three raises took FY2026 guidance from €34B to €39B to €44B to €45B, and the first FY2027 signal will show whether the staircase continues or the gradient flattens.
- **Installed Base Management growth** The €3.29B Q3 FY2026 print beat the guided level near €2.9B, and continued outperformance here is the cleanest evidence that the recurring base is compounding as modeled.
- **Earnings quality** Q3 FY2026 net income of €4.96B included a revaluation gain on the Mistral AI investment, and the share of reported profit coming from investments rather than operations deserves tracking each quarter.

+15.6%	52.8%	34.6%	33.8%	€8.53B	49.0%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	€32.7B
Gross Profit	€17.3B
EBIT	€11.3B
Net Income	€9.61B
EBITDA	€12.6B
Free Cash Flow	€11.0B
Diluted EPS	$24.71
ROE	49.0%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

ASML's monopoly is in EUV, and share erosion would arrive as a

M&A DIGESTION

The Mistral AI investment already moves reported earnings, with a

REGULATORY AND PRICING SCRUTINY

technology transition rather than a competitor, if a future patterning approach reduced EUV intensity per wafer. No such shift is in the record, but at this multiple even a credible research path toward one would compress the valuation before it touched revenue.

revaluation gain inside Q3 FY2026 net income of €4.96B. Strategic investments of that kind can serve the ecosystem, yet they blur the operating picture and ask investors to underwrite assets outside the lithography franchise.

A monopoly supplier of the industry's most strategic tool operates under permanent policy attention, and the rules governing where advanced lithography systems may be shipped are a standing monitoring item. Any tightening would fall directly on the highest-value segment of the order book.

TECHNOLOGY DISRUPTION

The 2026 delivery pattern is heavily second-half weighted, and the record shows growth of 13.2% in Q1 becoming 55.2% in Q3 only because the ramp arrived. A slip in system deliveries or acceptance would push revenue across year boundaries and expose how much of the story is timing.

REINVESTMENT TREADMILL

Demand running ahead of capacity obliges ASML to keep expanding output, service coverage, and support infrastructure, while also funding a buyback program of up to €12B. If the capacity built for this cycle meets the next digestion phase, returns on that reinvestment fall quickly.

WACC AND DURATION SENSITIVITY

At a 9.91% WACC, a 1.30 beta, and 66.2x FY2025 earnings, the shares are among the longest-duration assets in the equipment sector. Small moves in discount rates or in the terminal path swing fair value by amounts that dwarf a year of dividends or buyback accretion.

The strengths

OLIGOPOLY POSITION

The description understates it, because ASML is not an oligopolist but the sole supplier of EUV lithography. Every advanced chip roadmap in the industry routes through its shipment schedule.

FCF COMPOUNDING

FY2025 free cash flow of €11.0B at a 33.8% margin, return on equity of 49.0%, and net cash of €8.53B describe a franchise that funds its own expansion and its buyback simultaneously.

GEOGRAPHIC DURABILITY

The installed base spans the industry's leading fabrication regions, and the service revenue attached to that fleet does not depend on any single market's order cycle. Installed Base Management at €3.29B in one quarter is the proof.

PIPELINE OPTIONALITY

A €38.80B backlog, three guidance raises in a year, and a Q4 guide of €14.2B to €15.2B give ASML more forward visibility than any peer. The optionality is in how long the staircase runs, not whether it exists.

The bottom line on risk and reward

ASML is the finest franchise in semiconductor equipment, and this report does not pretend otherwise. The monopoly is genuine, the service annuity is compounding, the balance sheet carries net cash of €8.53B, and management has spent 2026 raising guidance. An investor who owns the shares owns a claim on the one supplier no advanced chipmaker can route around.

The rating turns on the entry price, as it should. Our base case grants a 14.0% revenue CAGR for six years and a terminal growth rate of 4.0%, and still produces €1,415.66 against a €1,635.16 reference price. Our bull case, at an 18.5% CAGR, produces €1,781.14, which is 8.9% of upside in exchange for underwriting a flawless multi-year ramp

at the industry's most scrutinized chokepoint. We hold a Hold rating, with valuation concerns, and a blended target of €1,443.48, representing -11.7% downside, and we would rather pay up for this franchise after a digestion quarter than at the top of a three-raise year.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

EUV lithography systems: the sole source of the industry's most critical tool

Every leading-edge processor and memory device begins as a pattern projected by an EUV system, and every one of those systems comes from ASML. The Q4 FY2025 order record shows the industry voting with its capital, as €7.44B of the €13.16B in record bookings came from EUV orders alone. That concentration is the franchise in miniature. Customers are not buying a tool category. They are reserving places in one company's production schedule, years ahead, because their own roadmaps have no alternative path.

The economics follow from that position. EUV systems anchor the revenue staircase that took quarterly sales from €8.77B in Q1 FY2026 to €11.66B in Q3 FY2026, and they seed the installed base that produces the service stream. Gross margin of 57.5% in Q3 FY2026 reflects a mix weighted toward the highest-value systems at the top of the ramp. As long as the industry's frontier keeps advancing, the EUV franchise reprices itself upward with each generation, without ASML needing to win a single competitive contest.

The constraint on the franchise is physical rather than commercial. Management describes demand running ahead of capacity, and the delivery record shows what that means in practice, with growth of 13.2% in Q1 FY2026 becoming 55.2% in Q3 FY2026 as shipments bunched into the second half. Q4 FY2026 guidance of €14.2B to €15.2B extends the bunching. A supplier in this position disappoints the market not by losing orders but by shipping them in the wrong quarter, and the Q3 sales landing below the roughly €11.85B consensus shows how little timing slippage the current multiple forgives.

Our stance on the franchise is therefore separable from our stance on the stock. EUV is as close to a permanent toll on technological progress as public markets offer, and the toll booth is compounding. We simply note that at €1,635.16, the toll for the next several years has been collected in advance by the seller of the shares, and we prefer to wait for a quarter in which the market forgets, briefly, how permanent the toll is.

What the recent record shows

- Q3 FY2026 net sales reached a record €11.66B, up 55.2% year over year, at a gross margin of 57.5%, with the full-year outlook raised for the third time to €44B to €45B.
- Q4 FY2025 net bookings set a record at €13.16B including €7.44B of EUV orders, lifting the backlog to €38.80B.
- Installed Base Management sales of €3.29B in Q3 FY2026 beat the guided level near €2.9B, confirming the service stream's momentum.
- Q2 FY2026 bridged the year, with net sales of €9.33B up 21.3% and EPS of €7.58 beating the €6.95 estimate by 9.1%.

Our read: EUV lithography is the strongest single franchise in the semiconductor supply chain, and ASML's record backlog and guidance cadence prove demand is not the question. Price is the question, and at 66.2x earnings the answer, for now, is to wait.

For institutional clients only. Not investment advice. Past performance does not guarantee future results.